BOSTON UNIVERSITY METROPOLITAN COLLEGE

Microsoft Xbox Game Pass: Optimizing in Digital Transformation

SUBMITTED TO

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MET CS782 O1 REG

Information Technology Strategy and Management

by

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1/22/2024

Phil Spencer, who is the CEO of Microsoft Gaming was considering strategies to increase revenues and subscribers for Xbox Game Pass in 2022.[1] Revenues and subscriber growth had fallen short unexpected in recent years, and Spencer needs to figure out how to meet the aggressive growth goals the company had set up for service.[2]

In 2017, Microsoft introduced Xbox Game Pass, a subscription-based model approach from its hard copies approach. The Xbox Game Pass services followed its trend of a subscription-based model like Netflix in video streaming and Spotify in music, as well as many strategic planning of transition to subscription-based business models from its cloud-based software and services.[3] In January of 2022, Xbox Game Pass attracted 25 million subscribers. The service generated $2.9 billion in revenue in 2021, which accounted for nearly 20% of the total Xbox revenue of $16.3 billion).[4] It is the leading subscription-based service in the industry with greater revenues than services alike such as, PlayStation and Nintendo. While having a healthy growth during the pandemic years, revenue and subscribers' growth had been falling short in expectations. The Xbox team needs to reinvent a new competitive strategy approach and had only three options for reigniting their gaming product by 2023.

- Optimize the existing business model by offering Game Pass on other platforms, building a gaming store, modifying prices and tiers, or leveraging Xbox All Access
- Transform the business model by charging subscribers base on their usage
- Improve profitability by rewarding customer loyalty and reducing customer churn

Microsoft employed the "razor-razorblade" business model for the Xbox console since the introduction of 2001. The model was used by the Gillette company, in which sold razors at or nearly a loss and made money by selling proprietary blades that fitted the razors. In general, version of this model had a base hardware product that is sold at a slim or negative margin and the sales of a better version of the product was contingent consumable or complementary product that generated profits.

[1] Sawhney Mohanbir., Xbox Game Pass: Business Model Optimization and Transformation., 1
[2] Sawhney Mohanbir., Xbox Game Pass: Business Model Optimization and Transformation., 1
[3] Sawhney Mohanbir., Xbox Game Pass: Business Model Optimization and Transformation., 1
[4] Sawhney Mohanbir., Xbox Game Pass: Business Model Optimization and Transformation., 1

This model used in the video game industry by Sony PlayStation, as well as Microsoft Xbox. Lori Wright, who is the head of the business development team for Xbox told *The Verge* that Xbox business was in high-growth and profitable, however "we sell the console at a loss."[5] Microsoft spokesman elaborated: "The console gaming business is traditionally a hardware subsidy model. Game companies sell consoles at a loss to attract new customers. Profits are generated in game sales."[6]

On June 1st of 2017, Xbox Game Pass were $9.99 per month for users to download and play a rotating catalog of more than 100 Xbox games. Players could also buyout games at a discounted price. Microsoft was hoping that the server would encourage customers to discover and play games they would have not have by trying it out. Usually, sales of all new video games dropped off rapidly; 95% of revenue was generated within the first 12 months. Microsoft hoped that Game Pass would rekindle demands for older games by generating a "franchise uplift," or interest in previous game versions.

Ed fries, a former Xbox executive told the industry publication that the subscription-based model could lead to people not buying games anymore, he said: "Game Pass scares me because there is a somewhat analogous thing called Spotify that was created for the music business. When Spotify took off, it destroyed the music business. It cut the annual revenue of [that] business in half; it has made it so people just don't buy songs anymore."[7]

So then, when Game Pass was launched, the catalog included only games that had been in the market for twelve months. (Microsoft shared 70% of game sale revenues with publishers.) at that time the model had proved itself, Microsoft expanded the Game Pass catalog. On January 23rd, of 2018, catalog in Game Pass included all Xbox-developed games on the same day that offered retail sales. Third-party games publishers began to release their new titles on the Game Pass. In December of 2022, the catalog contained more than 400 games of various genres.

By June 9th, of 2019, Microsoft released Xbox Game Pass Ultimate, a newer subscription tier that combined Game Pass with the existing Xbox Live Gold multi-player subscription packages for $14.99 per month vs. $19.98 per month if purchased separately. The Xbox Game

[5] Sawhney Mohanbir., Xbox Game Pass: Business Model Optimization and Transformation., 2
[6] Sawhney Mohanbir., Xbox Game Pass: Business Model Optimization and Transformation., 2
[7] Sawhney Mohanbir., Xbox Game Pass: Business Model Optimization and Transformation., 2

Pass Ultimate subscribers had access to exclusive content for games they owned, including in-game items such as players costumes, weapon skins, playable characters, and in-game currency that could be purchased via in-game store.[8]

Microsoft gave a presentation by game developer at a conference, Microsoft Game Developer Conference (GDC) in 2022 which Game Pass users or players played 40% more titles and 30% more genres than before than they had joined Game Pass. 50% spent more on games and 2.8 times more on in-game purchases that would unlock specific features in their game or gave the user special abilities that otherwise would not, such as, characters or content.

Moreover, game publishers also benefited from the game pass. Existing games that would join the Game Pass increased their players numbers by 8.3 times and independent games could launched on Game Pass saw a 15-fold increase in players.[9]

While the Game Pass business was successful, Gaming CEO Phil Spencer acknowledged that the subscription-based model would never become the dominant business model for Xbox.[10] On the other hand, a Wall Street Journal Live conference in October of 2022 revealed that Game Pass accounted for 15% of Microsoft's overall Xbox content and services revenue. Moreover, expecting that the service would remain around that level.

The growth in which the subscribers slowed down over the previous few years was because Microsoft had a growth target of 73% for the 2022 year, however, actual growth was about 50% less of 28%. In 2021, the real growth was 37% versus the targeted 48%. What should Microsoft do next?

To optimize the current subscription-based model, the Xbox Game Pass service was available on desktop personal computers (PCs) and Xbox gaming console. Microsoft saw an opportunity to expand the market for Game Pass by making services available on Android and iOS mobile devices. This approach would mean that Microsoft would need to "embrace and extend" the strategy of early 2000s, making Microsoft Office accessible through additional web browsers such as Netscape, Mozilla, and Safari. This method would be a consistency with

[8] Sawhney Mohanbir., Xbox Game Pass: Business Model Optimization and Transformation., 3
[9] Sawhney Mohanbir., Xbox Game Pass: Business Model Optimization and Transformation., 3
[10] Sawhney Mohanbir., Xbox Game Pass: Business Model Optimization and Transformation., 3

Microsoft's strategies of making popular office productivity product, e.g., Word, Excel, PowerPoint, and Outlook – availability on the Android and iOS platform. In other words, console gaming was shrunk by the size of the mobile gaming market; as game designed and played on mobile devices such as feature phones, smartphones, and tablets. In 2020, Xbox Live reported about 100 million active users.[11] Mobile gaming audience in 2022 was almost reaching 2 billion, nearly 20 times the size of the Xbox gaming market. The $184 billion generated in 2022 by all types of games – the mobile gaming market accounted for 50% of revenues, whereas console games had only 28% revenue share and PC games had a 21% revenue share.[12] Mobile games downloads surged to nearly 90 billion of which 6 billion was more than in 2021.[13] Moreover, the average revenue per user (ARPU) for mobile platform games was expected to reach $164 in 2023.[14] By 2027, the projected market volume of mobile gaming could reach $376.70 billion.[15] Could Microsoft expand its total addressable market (TAM) by putting its Game Pass service on mobile platforms?

According to Porter's Five Forces of Analysis, this would categorize in Threat of New Entrants. "The number of potential new entrants into a market varies considerably and is a key factor you need to quantify. Sectors that require high levels of investment and expertise are much harder for new organizations to break into and challenge the existing providers, which protects the profit levels of the existing players. If your market is one that has a common technology base, little brand awareness or loyalty, and is one in which the distribution channels are accessible to all sizes of organization, then you will usually find it is easy for new rivals to enter your market."[16] While Porter's Five Forces model challenges these issues there are certain consideration that needs to address before formulating it and using it. Many of the facts and issues are how would Microsoft implement a Game Pass application on these Android and iOS mobile devices? Moreover, there are issues such as Threat of Substitutes, which iOS and

[11] Sawhney Mohanbir., Xbox Game Pass: Business Model Optimization and Transformation., 4
[12] Sawhney Mohanbir., Xbox Game Pass: Business Model Optimization and Transformation., 4
[13] Sawhney Mohanbir., Xbox Game Pass: Business Model Optimization and Transformation., 4
[14] Sawhney Mohanbir., Xbox Game Pass: Business Model Optimization and Transformation., 4
[15] Mobile Game Monetization Statistics 2023. AdPumb. (2023a, May 4). Web,. from https://adpumb.com/blog/mobile-game-monetization-statistics-2023/
[16] Porter E., Michael., Porter's Five Forces Strategy Skills., 18

Android devices currently has – an application already built-in in these mobile device's platform to look for free apps and to buy apps.[17]

Mobile devices allow users to play games anywhere without a console. If Microsoft was able to sell games to gamers on iOS or Android devices; it would bring their market share up by 30% with the rest, such as Apple and Google. Furthermore, applications or app store limitation meant that users gaming limitations on other devices such as, PCs, Xbox, PlayStation, Nintendo, and the like – would be more inferior to the Mobile devices' platform. Mobile gamers are a major significant at this point, and willing to pay than console gamers. If we were to be able to implement these features in mobile devices and have gaming cloud computing with a subscription-based, then the Microsoft would dominate the gaming industry. However, Microsoft would find it challenging to persuade mobile gamers to move over the same level of subscription fees to be paid by gamers who owned Xbox consoles.[18]

Moreover, Microsoft had revealed plans to create the next-generation game store that would operate on various platforms, including mobile devices; with their purchase of publisher Activision Blizzard, Microsoft could scale the Xbox store and attract gamers to a newer platform, including both Microsoft and Activision games. However, trying to move users away from mobile devices games, such as Google Play and iOS App Store would require new innovative ideas and more time.

Moreover, Microsoft's "razor-razorblade" model is a pricing tactic which dependent on goods to be sold at a loss (or at a cost) and pairing the consumable goods to generate the profit. This is also known as a "razor and blades" business model, the price and market strategy is designed to generate a reliable and recurring income by locking in consumer on a platform or proprietary tool for a period of time.[19] The concept is similar to "freemium," in which digital products and services such as, email, games, and messaging are given away for free; however, with the expectation of making money later on upgraded or licensing services or added

[17] Porter E., Michael., Porter's Five Forces Strategy Skills., 20
[18] Sawhney Mohanbir., Xbox Game Pass: Business Model Optimization and Transformation., 4
[19] Kenton, Will., Razor-Razorblade Model: Definition, How It Works, and Examples., Dec. 18th, 2022., Web., from https://www.investopedia.com/terms/r/razor-razorblademodel.asp

features.[20] Like Microsoft, this model saves them many times, including the Microsoft's Operating Systems, such as Windows. The proprietary and monopoly product model of Microsoft had made their company billions and made the Chief Executive Officer (CEO) who is William Henry Gates III (Bill Gates) one of the richest men on earth to this date.[21] "When a new model changes the economics of an industry and is difficult to replicate, it can by itself create a strong competitive advantage."[22]

By introducing Xbox Game Pass, Microsoft made a digital transformation, an impact on the economy, something that a smaller company otherwise would not be able to. Moreover, generating revenues for company, however, making Spencer and his Xbox team a strategic choice to meet an aggressive growth in business goals. The team research the costs, benefits and risks of the business before implementing the hypothetical framework:

1. Optimizing the current subscription-based model by changing the price tiers, features, or platforms on which the Xbox Game Pass was available.
2. Transform the model by moving to usage-based pricing, possibly adding exclusive membership benefits from premium usage tiers.
3. Increase customer lifetime value and reduce church by rewarding subscribers for usage and tenure.

[20] Kenton, Will., Razor-Razorblade Model: Definition, How It Works, and Examples., Dec. 18th, 2022., Web., from https://www.investopedia.com/terms/r/razor-razorblademodel.asp
[21] Wikipedia contributors. (2024, January 24). Bill Gates. In *Wikipedia, The Free Encyclopedia*. Retrieved 04:37, January 25, 2024, from https://en.wikipedia.org/w/index.php?title=Bill_Gates&oldid=1198614187
[22] Margretta, Joan,. Why Business Models Matter., P 92

This business model Spencer developed began after he review the materials within the company; to develop a new strategy to approach his recommendation.

Exhibit 1: Proposed Usage-Based Pricing Plan for Xbox Game Pass

[Return to text]

	Silver Tier	Gold Tier	Platinum Tier
Target segment	Minnows	Dolphins	Whales
% Current Xbox subscribers)	75%	15%	10%
Average usage level	4 sessions/wk x 60 mins/session = 1,000 mins/month	8 sessions/wk x 60 mins/session = 2,000 mins/month	20 sessions/wk x 90 mins/session = 7,200 mins/month
Current subscription price	$14.99/month	$14.99/month	$14.99/month
Current price/ minute	1.5 cents/minute	0.75 cent/minute	0.2 cent/minute
Proposed usage-based price	$9.99/month	$24.99/month	$39.99/month
Proposed monthly usage limit	1,000 minutes	3,000 minutes	Unlimited
Proposed price/ minute	1 cent/minute	0.83 cent/minute	0.55 cent/minute (at 7,200 minutes)
Proposed price/ minute over usage limits	0.5 cent/minute	0.5 cent/minute	None
Additional benefits	None; limited to 100 game titles	Expanded catalog Exclusive first-party titles VIP Tier 1 benefits	Largest catalog Exclusive first- and third-party titles Pre-release exclusive window VIP Tier 2 benefits (e.g., battle passes, IAP offers, Boosts) Support hotline

Source: Created by the author.

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